

CHAPTER – IX

ADVANTAGES & DISADVANTAGES

9.1 – Advantages

Advantages of Strategic Product Placement Analysis

a. **Increases Sales Revenue**

Helps businesses place products in locations where customers are more likely to notice and purchase them, leading to higher sales.

b. **Improves Product Visibility**

Ensures important and high-profit products are displayed in prominent areas, increasing customer attention and purchase likelihood.

c. **Enhances Customer Shopping Experience**

Creates a well-organized store layout, making it easier for customers to find products and reducing shopping time.

d. **Supports Data-Driven Decision Making**

Uses sales, pricing, foot traffic, and demographic data to make informed merchandising decisions rather than relying on assumptions.

e. **Optimizes Store Layout**

Identifies the most effective product positions and shelf arrangements to maximize customer engagement and store performance.

f. **Improves Inventory Management**

Helps businesses understand product demand patterns, reducing stock shortages and excess inventory.

g. **Increases Effectiveness of Promotions**

Assists in placing promotional products in high-traffic areas, improving the success of marketing campaigns.

h. **Provides Customer Behavior Insights**

Analyzes customer preferences and purchasing patterns, helping businesses better meet consumer needs.

i. **Enhances Competitive Advantage**

Enables businesses to respond quickly to market trends and competitor strategies through informed placement decisions.

j. **Improves Resource Utilization**

Helps retailers make better use of shelf space, display areas, and store resources for maximum profitability.

k. **Boosts Overall Business Performance**

Combines multiple factors such as sales, promotions, pricing, and product positioning to improve operational efficiency.

l. **Supports Strategic Planning**

Provides valuable insights that assist management in long-term retail planning and business growth.



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